STST2001 Security Concepts in the Asia-Pacific

Research Essay

Topic & Question: Economics & Security: How does FDI shape economic interdependence and thus affect the security situation in Asia?

Introduction

Since the 1990s, foreign direct investments (FDI) have played a significant role in the economic development of ASEAN countries (Diaconu (Maxim), 2014). The FDI not only provides job opportunities to the local people but also brings advanced technological industries for ASEAN countries to benefit their technological development. Those investments seem to be sweet to ASEAN countries; however, the risk is always associated with the investment received, especially in the current era with the most prominent economic entities, China and the United States, in the world. The economic-security nexus in the US-China forces countries in Asia-Pacific, especially those in ASEAN, to hold a conflicting position towards the issue related to both China and the United States.

The research essay will introduce the conceptual framework from the course to discuss the relationship between economic interdependence and security. Then, the research essay will discuss how FDI shapes economic interdependence among ASEAN countries and, therefore, affects the security situation in Asia. The essay will introduce the background and status quo of the FDI in ASEAN countries, explaining the effect of the security situation from the perspective of conflicts among neighborhood countries and the external influence based on realist and Marxist approaches. Then, the essay will choose

Vietnam as a case study of how FDI shaped economic interdependence and further impacted the security situation in Vietnam.

Conceptual framework

Though scholars in the past treated economics and security separately, modern scholars believe that the economy-security nexus cannot be ignored from the following perspectives. According to Mastanduno (1998), economic factors have played a significant role in shaping security dynamics; for instance, economic competition among great powers has often led to conflicts, while economic interdependence has promoted cooperation and stability. Mastanduno (1998) also indicates that the concept of relative gains shows how states assess their economic benefits to others. If a state starts to gain more than another, it may lead to geopolitical security issues. It is essential to balance the economic gains with security gains. The case study below will apply the theories from these perspectives to indicate how the shift caused by the flow of FDI affects the economy-security nexus.

Besides those, the economy and the accumulation of capital reflect the dynamics of a country from both hard and soft power perspectives. Solid economic power proves the strength of the hegemonic capitalist system, not only from a military perspective but also from a cultural perspective. According to Amin (2010), the sustainability of imperialist countries relies on the continuous domination and exploitation of other developing countries. To maintain the hegemony, Amin mentioned, imperialist countries execute collective monopoly from weapons of mass destruction, mass communication systems, monetary and financial systems, technologies, and access to natural resources. In other words, the hegemony of security relies on the country's economic status. Capitalist countries themselves are likely to stage conflicts among international societies to obtain scarce resources (natural or artificial) and solidify their domination of the world. A question left here is how to force countries to join the capitalist system. Here, neoliberalism and neocolonialism both played the role of domination in the late 20th century. Neoliberalism thoughts and economic success force governments in developing countries to reform and execute flexible economic policies that encourage privatization and a market economy. Policies alone will not make a change, as the accumulation of the original capital is not sufficient. The introduction of foreign capital plays a critical role in the development of developing countries. It seems to be beneficial to both countries. While developing countries sell their natural resources and cheap labor force to obtain development opportunities, developed countries obtain consistent interests from those investments by exploitation. However, issues that come later are that economic security cannot be guaranteed as foreign capital, representing the will of capitalist countries, will interfere with the internal affairs of the state to ensure its interests. As Lenin (1917) mentioned in his book "Imperialism, the Highest Stage of Capitalism," Imperialism is the logical extension of geopolitical power that meets the financial investment needs of the political economy of capitalism. Thus, it is necessary to consider the impact of the economy on security issues. The intervention of imperialist countries may cause a shift in power dynamics and lead to an imbalanced economic and security status in the region. Soft powers, including the culture, along with the hard powers of military and economy, indirectly dominate the developing countries and their positions on economic and security issues.

Besides Marxist approaches, the trade expectations theory is also needed to analyze the relationship between economic interdependence and the possibility of war among states.

While liberalists argue that high-level economic interdependence could increase the benefits of peace trade and reduce the possibility of trade, realists believe that economic interdependence could increase the risk of war as dependence on critical resources leads countries to initiate conflicts to secure these resources. Trade expectation theory introduced the concept that the expectations of future trade play a crucial role in explaining the state's actions by balancing the idea from liberalists and realists; if states expect future trade to remain stable and beneficial, they are more likely to avoid conflicts; however, if they anticipate future disruptions in trade, they might resort to war to secure their economic interests (Copeland, 1996). Copeland's theory integrates the liberal emphasis on the benefits of trade and the realist focus on the costs of severed trade, providing a comprehensive framework to understand the impact of economic interdependence on the likelihood of war.

Background

Under the threat of the spreading communism based on the domino theory, representatives from Indonesia, Malaysia, Philippines, Singapore, and Thailand drafted and adopted the ASEAN Declaration in 1967 (The Parliament of the Commonwealth of Australia - Joint Standing Committee on Foreign Affairs, Defense and Trade, 1998). Unlike ASEAN today, anti-communism is the central theme of the past ASEAN. Before Deng executed open and reform policies in China in the 1980s, ASEAN countries were considered to be a suitable location for developed countries to transfer the surpass labor collective industries due to the convenient transportation, mass natural resources, low labor cost, and less geopolitical conflicts. However, the scale is limited during that era due to the restricted economic policies. In the 1990s, large-scale foreign direct investment from both

China and Western countries flowed to ASEAN countries as the ongoing reform of neoliberalism economic policies in ASEAN countries made fewer barriers for other countries to establish manufacturing and export-oriented industries. However, a recession occurred during 1997-1998 due to the Asia economy; many ASEAN countries faced economic downturns, and FDI inflows declined. Organizations, including the IMF and World Bank, have helped ASEAN countries overcome the challenges that are required for liberalized reform. In 2015, ASEAN established the ASEAN Economic Community, the realization of the region's end goal of economic integration. The adoption of AEC agreements has characterized ASEAN by the free movement of goods, services, and investments, as well as the free flow of capital and skills. Those features make ASEAM aims to be an attractive single investment destination (ASEAN, n.d.). In 2022, with a combined population of over 660 million and a collective GDP of almost US$3.2 trillion in 2019, ASEAN ranked as the third-largest regional economy in Asia and the fifth-largest economy in the world (ASEAN, 2023). Though the amount of FDI decreased to 122 billion dollars in 2020 due to the pandemic, the rapid recovery in 2022, with a value of 224 billion dollars, still makes ASEAN a prominent area for investments (*ibid*).

Though foreign capital does bring tremendous opportunities and development for ASEAN countries, it should be noted that dependency on foreign capital may cause potential security issues. From the perspective of economy, Western countries may force ASEAN countries to execute more liberal economic policies for deeper involvement of Western countries in critical industries. For example, the economic crisis in 1998 produced an opportunity for them to participate in the market; the Western-dominated organization IMF (International Monetary Fund) demanded liberalism reform in ASEAN countries in order to receive aid from the IMF (Kose et al., 2020). The flow of Western capital and dominations makes the domestic economic structure vulnerable and provides a chance for foreign powers' intervention (Song, 2023). The economic security issues will finally lead to issues inside the country. The economic crisis led to protests and rebellions inside the country, forcing the country to adopt a more liberal policy(neoliberalism) or even change its political order to a democratic regime.

Case Study- Vietnam

The wave of neoliberalism and economic reform in China pushed Vietnam to reform its economic policy from a pure socialist planned economy to a "socialist-oriented market economy" known as *Đổi Mới* in 1986 (Loan, 2010). At a later date, the National Congress of the Communist Party of Vietnam adopted regulations regarding foreign investment and private sectors. Such actions have had positive impacts on Vietnam's economy; the annual GDP growth rate remained at 8% during 1990-95 (Hakkala & Kokko, 2007). However, the main driving factor of Vietnam's economy was still state-owned enterprises (SOEs) during that era. The liberalization of the economy does help Vietnam promote its inner economic cycle. Nevertheless, what makes Vietnam today is the external cycle with foreigners, especially Western countries.

The end of the Vietnam War pushed Vietnam to realize that the struggle against the United States did not guarantee that the Soviet Union nor China would support Vietnam. The United States' concern that the domino effect of communalization of Vietnam may affect other states in ASEAN countries to join communist blogs is unrealistic. However, the collapse of socialist countries in Asia makes both countries believe that one of their most significant concerns is resolved, While Vietnam's compromise with the Vietnamese

Government of ignoring historical conflicts and the strong promotion from U.S. Veteran Senators pushed the normalized relationship between Vietnam and the United States in 1995. In 2000, Vietnam and the United States negotiated and drafted the "US-Vietnam Bilateral Trade Agreement," representing that Vietnam, as a socialist country, joined the U.S. leading capitalist world system for economic development (The United States of America & Socialist Republic of Vietnam, 2000). Investments from foreign countries have flowed to Vietnam. Similar to China, Vietnam also accommodates a tremendously educated, low-cost skilled labor force waiting for developed countries to open factories in their cities to "enjoy the bloomsome of capitalism." Until 2017, Vietnam attracted over 25,000 foreign direct investment projects with a total registered investment of more than USD 333 billion (Le & Dang, 2022).

In 2007, the U.S. Congress approved permanent normal trade relations with Vietnam. Vietnam is not considered the enemy of the United States but a trading partner to the United States, leading to a 7.3% growth rate of GDP in the same year. The United States is no longer considered an enemy need to against but has become a good friend from the Vietnamese perspective; over 84% of Vietnamese have a positive image of the United States, while 71% of them believe that the spread of U.S. ideas and thoughts is positive (Wike et al., 2017). Over 60 years, the United States has transformed Vietnam from a faithful member of the socialist family to a politically socialism and economically capitalist state. The conflicts among past generations have been resolved, and the younger generation has started a new chapter in the U.S.-Vietnam relationship.

In 2023, the U.S. president visited Hanoi, Vietnam as a state visit; during his visit, he met with General Secretary Nguyen Phu Trong and elevated U.S.-Vietnam relations to a Comprehensive Strategic Partnership, an unprecedented and momentous elevation after the end of Vietnam War in the last decades. The signed bilateral agreement in semiconductors indicates that the United States treats Vietnam as a reliable partner and will increase investment in the Vietnamese semiconductor industry to expand the capacity of the semiconductor ecosystem in Vietnam in support of the U.S. industry under the increasing threat of Chinese semiconductor industry (The White House, 2023). Those actions represent that Vietnam, as a substitution for China, gradually obtained the position of manufacturing in the Western capitalist system.

Under the background of increased conflicts between China and the United States after 2018, Western countries need to find other countries that can replace the role of manufacturing cheap, low-end commodities. Under such circumstances, Western countries would instead diversify those further away from places prone to disruptions due to various issues or bring the production capacity back to the home country (onshoring) or to countries nearby (nearshoring) (Kang, 2022). However, such "friend-shoring," the act of manufacturing and sourcing from countries that are geopolitics allies, may increase the labor cost, and unstable geopolitical risks push Western countries to enforce a business strategy called China Plus One (C+1). According to research from UBS (2020), 71% of the manufacturing exporters plan to move or continue to move some production out of mainland China during the COVID era. In such cases, Western companies are looking to exploit opportunities in other growing Asian markets both to hold down costs and to reduce overdependence on China (Witchell, 2013). ASEAN countries, including Vietnam, have benefited from it; Vietnam's advantageous position is bolstered by its relatively lower labor costs, improving infrastructure, and favorable trade policies. According to the International

Labor Organization, the minimum wage in Vietnam remains significantly lower than that in China, making it an attractive destination for labor-intensive manufacturing (ILO, 2021). Multiple bilateral agreements between Vietnam and other countries ensure the low tariff of Vietnamese commodities, thus making the flow of Vietnamese commodities more efficient and low-priced.

Conflicts

It should be noted that not only the traditional labor-collective industries but also high-technology industries, including semiconductors, transferred from China to other countries due to geopolitical risks. In 2015, China initiated the Made in China 2025 strategy, attempting to domesticate critical high-technology industries and develop China from labor-collective industries to technology-intensive industries. Such initiatives declared that China is attempting to go against the role assigned to the world capitalist system, which has finally led to intense technological competition between the U.S. and China in recent years. According to Kuik (2024), both the U.S. and China are the major investors in Southeast Asia in high-tech sectors, including 5G telecommunications, artificial intelligence, and smart city projects. Under the U.S.-China tech competition, both opportunities and risks presented by the involvement of both superpowers occur and force ASEAN countries to make wise decisions to avoid potential risks of future development.

Inside ASEAN, countries exercise various approaches to avoid geopolitical threats. In general, those countries have generally adopted a hedging strategy, balancing their engagements with both the U.S. and China to maximize economic benefits while mitigating security risks (Kuik, 2024). The hedging strategy can be classified as heaving hedging, which excludes Chinese tech firms from critical 5G infrastructure due to security concerns while continuing to engage with China in other economic areas, and light hedging, a more open approach, welcoming Chinese 5G technology and viewing Chinese tech firms as opportunities for economic development (*ibid*). The decisions made by these countries reflect a tradeoff between economic benefits and security risks; while some countries prioritize economic development and downplay security risks, others prioritize security over economic benefits by excluding Chinese tech firms from critical infrastructure (*ibid*). Those hedging strategies are also influenced by legitimation; countries with emphasis on identity-based legitimation (authoritarian states) are more cautious about security risk, while countries relying more on development-based legitimation prioritize economic gains (ibid).

In light of the political theory discussed in the previous section, it is essential to consider how this theory applies to the private security sector in ASEAN countries. From neo-Marxism approaches, ASEAN countries are considered semi-periphery and periphery states that shall be exploited by the capitalist countries in the system. Though they have remained independent, they are forced by Western countries to choose a position under U.S.-China technical competition. If choosing the United States, those countries face the geopolitical threat from China directly along with the domination of Western countries in terms of economic security. If choosing China, those countries lose their current tremendous FDI and aid from Western countries and organizations that significantly promote their economic development; besides that, the established reputation of Western countries may push people in ASEAN countries against the current Government and ever overflow the regime. From trade expectations theory, the current position of both China and the United States believes that both countries anticipate future disruptions in trade; the inability of trade and the flow of FDI significantly affect the balance of economic interdependence and increase the risk for those countries to stage a war (e.g., ongoing U.S-China trade war) to ensure their economic dominance for the United States and economic independence for China. The geopolitical and economic positions make ASEAN countries vulnerable to those threats. As China and ASEAN countries still have unsolved territorial conflicts, the position of ASEAN countries towards the conflict between China and the United States may irritate China and force ASEAN countries to face military threats from China.

Conclusion

There is no doubt that the flow of FDI has a significant impact on economic interdependence by influencing the economic balance between ASEAN countries and others. Such influence would transmit the issue to both perspectives of economic security and geopolitical security issues. FDI has contributed to significant economic and technological development in ASEAN countries. However, the growth comes with the risk of increased economic vulnerabilities and security threats. The case study of Vietnam shows how the shift from a socialist planned economy to a market-oriented one driven by foreign investments has reshaped its economic and security positions. The ongoing competition between the United States and China significantly influences ASEAN countries to state a position that maximizes economic benefits while reducing security risk, especially in high-tech industries where both countries bring opportunities and tensions. The current ASEAN governments have answered the issue satisfactorily by using a hedging strategy to balance the risks from both China and the United States. Neo-Marxism and trade expectation theory have explained the intentions of actions among ASEAN countries. Though the future of the U.S.-China is still uncertain, the neutral positions of ASEAN countries have made it attractive for both China and the United States to continue their investment. In the foreseeable future, ASEAN countries will still play a significant role in the world capitalist system and balance the conflicts between China and the United States.

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